

FILIPPO CAVALERI

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Education

University of Chicago , Ph.D. Joint Program in Financial Economics	<i>2020–present</i>
University of St. Gallen (HSG) , M.A. HSG in Quantitative Finance and Economics	<i>2018–2020</i>
University of St. Gallen (HSG) , B.A. HSG in Economics	<i>2014–2018</i>

References

Professor Zhiguo He (Co-Chair)
Stanford University
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Professor Stefan Nagel (Co-Chair)
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Professor Benjamin Brooks
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Professor Quentin Vandeweyer
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Research and Teaching Fields

Primary: Finance, Macroeconomics
Secondary: Asset Pricing, Theory, Public Finance

Job Market Paper

Fiscal Insurance and the Pricing of Government Debt

Abstract: I study the impact of government debt on bond prices in a general equilibrium model in which fiscal policy interacts with incomplete risk sharing. Government debt and taxes together create a form of fiscal insurance that alters risks in households' balance sheets. The government budget constraint links the stock of public debt to future levels of taxes, so households' perceived risks vary with the supply

of bonds. By affecting aggregate asset demand, this insurance channel has direct implications for the equilibrium pricing of government debt. As a result, bond yields respond to changes in debt via both level and risk premium channels. While private and public assets are perfect substitutes, government debt is distinct because it triggers future tax adjustments that affect all households, whereas private debt does not. A benevolent government that commits to a given tax structure can improve risk sharing until households' valuations of fiscal insurance are exhausted. Excessive debt issuance erodes the value of insurance and increases households' precautionary demand for savings. Counterintuitively, higher borrowing costs may indicate that government debt is providing insurance to households. In a dynamic setting, fiscal insurance raises interest rates, lowers risk premia, and reduces capital accumulation. Crucially, the structure of taxation determines whether the aggregate value of insurance is positive and whether government debt improves risk sharing. By contrast, lump-sum taxes imply a version of Ricardian neutrality despite the market incompleteness because an increase in debt supply is exactly offset by an increase in aggregate asset demand.

Working Papers

A Preferred-Habitat Model with the Corporate Sector

Abstract: I study the interplay of interest rate risk, credit risk, and bond quantities in a term structure model of Treasury and corporate bond yields. The core of the theory is an endogenous connection between credit and duration risk premia through bond portfolios. Shocks to default probabilities propagate to Treasury yields through their impact on the price of interest rate risk. The dependence of credit risk premia on interest rates affects the strength of monetary policy transmission to both long term Treasury and corporate yields. The credit and the duration risk premia amplify the effect of an increase in default rates on credit spreads. A decline in Treasury supply can adversely impact corporate yields by raising the price of credit risk through a safety channel. The impact of quantitative easing is asymmetric and depends on which assets are purchased.

The Demand for Safe Assets (with Angelo Ranaldo and Enzo Rossi)

Abstract: This paper examines how heterogeneity in investment horizons determines the demand for safe assets, bidding strategies in auctions, and post-auction price dynamics. We model a uniform price double auction with resale where long-term investors hold assets to maturity, while dealer banks distribute the asset in secondary markets. Pure private (common) values emerge when only long-term investors (dealers) participate. Using unique data on Swiss Treasury bond auctions revealing bidders' identities, our empirical findings support key predictions: (1) substantial heterogeneity in demand schedules, with steeper demand curves for dealer banks; (2) Dealer banks' demand becomes steeper with increased demand risk and bid dispersion; and (3) demand elasticity positively predicts post-auction returns.

The Convenience Yield and the Demand for U.S. Treasury Securities

Abstract: This paper investigates the heterogeneity in investors' preferences for non-pecuniary attributes of U.S. Treasury securities. My goal is to determine which groups of investors draw benefits from holding Treasuries and the reasons why they are willing to pay a premium over safe and liquid corporate bonds. I first present a conceptual framework to interpret the implications of heterogeneity in valuations of convenience on yields and price elasticities. Then, using sector-level bond holdings from the Financial Accounts, I recover structural demand curves and rank investors by their valuations of convenience services. Estimates reveal that the convenience of long term Treasuries is valuable for U.S. private depository institutions, and security brokers and dealers, whereas it is less attractive to households, pension funds and insurance companies. The ordering suggests that a safety attribute is secondary to liquidity even at longer maturities. Models of convenience yields should (i) accommodate heterogeneity in the elasticity of substitution between Treasuries and corporate bonds and (ii) incorporate liquidity

motives at both long and short maturities.

Work in Progress

What News Moves Stocks and Bond Markets? (with Carolin Pflueger)

Awards, Scholarships, and Grants

Arnold Zellner Doctoral Prize	2025
MFA PhD Student Travel Grant	2025
Eugene F. Fama PhD Fellowship	2025–2026
NFA Best Ph.D. Student Paper Award	2024
Bradley Fellowship	2024–2025
The Brattle Group Ph.D. Candidate Awards for Outstanding Research (WFA)	2024
Yiran Fan Memorial Fellowship	2023
AFA PhD Travel Grant	2023
Liew Fama-Miller Fellowship	2022
CRSP Summer Grant	2021
Booth School of Business PhD fellowship	2020–2026
University of St. Gallen LGT-Prize	2020
Janggen-Pöhn-Stiftung PhD scholarship	2020
Swiss Study Foundation research scholarship	2020

Teaching Experience

Asset Pricing II (PhD)	TA for Prof. Koijen & Nagel	Winter 2025
Asset Pricing III (PhD)	TA for Prof. Constantinides & Nagel	Spring 2024
International Financial Policy (MBA)	TA for Prof. Kekre	Winter 2024
Asset Pricing II (PhD)	TA for Prof. Lorenzoni	Fall 2023
Financial Markets and Institutions (MBA)	TA for Prof. Diamond	Spring 2023
International Financial Policy (MBA)	TA for Prof. Kekre	Spring 2023
International Financial Policy (MBA)	TA for Prof. Hansen & Nagel	Winter 2023
Asset Pricing I (PhD)	TA for Prof. Constantinides	Fall 2022
Empirical Analysis III (PhD)	TA for Prof. Heckman	Spring 2022
Investments (undergraduate)	TA for Prof. Zhang	Winter 2022
Market Microstructure (graduate)	TA for Prof. Rinaldo	Fall 2019

Research Experience and Other Employment

Research Assistant for Carolin Pflueger, University of Chicago	2021–2023
Research Assistant for Prof. Rinaldo, University of St. Gallen	2019–2020
Economic Analysis Intern, Swiss National Bank	2017–2018
Summer Intern, d-fine GmbH	2017

Professional Experience

Co-Organizer of Chicago Booth Asset Pricing Working Group, University of Chicago 2023–2025

Organizer of Chicago Booth Theory Reading Group, University of Chicago 2023–2025

Organizer of Chicago Booth Finance Brownbag, University of Chicago 2022–2023

Conferences *AFA Annual Meeting, ASSA (AEA Poster Session), BIS & UniBas Pressure Points in Funding Markets Workshop, MFA, E(astern)FA, 11th International Conference on Sovereign Bond Markets, 14th Bundesbank Term Structure Workshop, International Banking Research Network, 12th Asset Pricing Workshop, Yiran Fan Memorial Conference, WFA, NFA, SFI Research Days, AFA PhD Poster Session, Conference of Swiss Economists Abroad, 18th EGSC WashU in St. Louis, 9th USC Marshall PhD Conference in Finance*

Presentations *University of Chicago, Swiss National Bank, Stockholm Business School, University of Cyprus, MFR Program Summer Session for Young Scholars*

Other Writing

Swiss Treasury Bond Auctions: An Update (with Marco Gortan, Angelo Ranaldo & Enzo Rossi), *SNB Economic Studies*

Additional Information

Citizenship Switzerland

Programming Skills Python, Matlab, Stata, R, Julia.

Languages Italian (Native), English (Fluent), German (Fluent), French (Advanced)